Parekh took a very active interest in the Investment Committee, helped in guiding its investment affairs, and kept a regular file of its minutes. In 1957, on Deshmukh's resignation, T.T.K. became the Finance Minister. In 1958, after LIC was well established, H.M. Patel resigned as Chairman and G.R. Kamat, a civil servant, took his place.

About that time, Haridas Mundhra had come into the limelight by capturing several industrial units, particularly British India Corporation of Kanpur, by purchasing a large number of shares from the British shareholders at a price of about ₹13 against the market price of around ₹6 (face value ₹5). He had overtraded, and in order to be eligible for bigger loans, tried to achieve a high market price for his shares by manipulation. He had to buy more and more shares from the public as offered and he was getting deeper into debt. He allegedly even forged the share certificates of some of his companies against which he borrowed funds. Rumors in this regard had even reached T.T.K. Despite his poor reputation, Mundhra managed to get the LIC to buy a package of shares of six of his companies with a poor record, for ₹1.24 crores, at a price which was somewhat higher than the market price. This led to an uproar in the Lok Sabha against T.T.K. and LIC officials. The Mundhra affair erupted into a major crisis as an instance of corruption in a newly-nationalized institution. The government was forced to appoint a commission under Chief Justice M.C. Chagla of the Bombay High Court, which was the first and perhaps the last commission to make an open public enquiry.

Even before the storm broke regarding Mundhra's sales to LIC, Parekh had prepared a note for the record of the Investment Committee in which he recorded that while the Committee had proved useful to LIC, it was not consulted in two major deals. One was when T.T.K.'s famous Budget of 1958 provoked a crisis in the market. At that time, he had asked LIC to support the market by open purchases of shares, especially leading scrips such as TISCO and IISCO. Parekh opined that this was a correct decision, (even though the Investment Committee was not consulted), because these were sound investments. However, the same could not be said of purchasing a package of Mundhra holdings because it was not the job of LIC to rescue persons in difficulties, but to make the right investments.

There were six Mundhra shares: Richardson & Cruddas, Jessops, Smith Stanistreet, Osler Lamps, Agnelo Brothers, and British India Corporation,